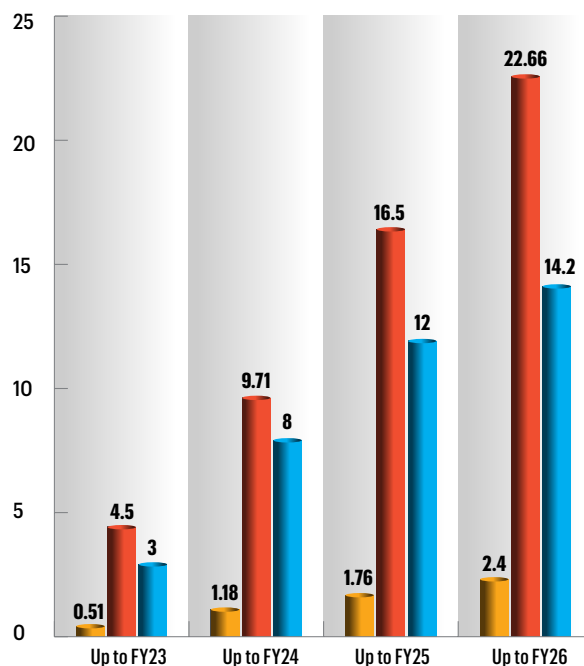


## DOMESTIC MANUFACTURING YET TO TAKE WINGS

- 1 Manufacturing contributed 16% to GVA in FY26
- 2 India does not have adequate natural resources like oil, gold, critical minerals that it imports
- 3 Initiatives like National Manufacturing Competitiveness Council and Make in India yet to bear fruit
- 4 Production Linked Incentive scheme has had limited success in a few sectors
- 5 Low R&D spends, inadequate ease of doing business seen to hamper manufacturing



■ INVESTMENTS (₹ LAKH CRORE) ■ SALES/PRODUCTION (₹ LAKH CRORE) ■ EMPLOYMENT (LAKH)

SOURCE DEPARTMENT OF COMMERCE

absorption, and weaker innovation ecosystems,” it said.

India’s R&D expenditure remains low at about 0.6–0.7% of GDP, significantly below global innovation leaders such as the United States (3–3.5%), China (around 2.5%), and South Korea (4–5%). “While government initiatives such as PLI schemes and R&D funding programme provided a push to manufacturing scale, sustained competitiveness will require deeper integration of innovation and technology development,” it said.

Besides, the government had issued quality control orders that initially helped cut down on substandard imports and helped build domestic capabilities. However, those became hurdles for businesses subsequently; several have now been scrapped.

### VOCAL FOR LOCAL

At least some measures for making more in India seem to have worked. A recent study by Bank of Baroda econo-

mists of a sample of 1,372 companies (excluding banks and financial companies) across sectors revealed that India Inc’s import to net sales ratio has remained flat broadly. However, sector specific ratios have fallen, especially where import dependency is higher. Significant reduction in the ratio was visible for chemicals, especially for carbon black, in which the import intensity used to be significantly higher, it revealed.

Doubling down on such efforts, the government has renewed focus on addressing import dependencies and boosting manufacturing over the past few months. Commerce and Industry Minister Piyush Goyal has held meetings with industry chambers asking them to review their imports and look for domestic substitutes. But the feedback seems to have been lukewarm so far.

The Department for Promotion of Industry and Internal Trade has also identified over 100 items that India imports in huge quantities and has formed six working